

Whitepaper

AE Coin

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AE Coin is a UAE Dirham-backed stablecoin, underpinned by robust blockchain network protocols and comprehensive business rules designed to support complex customer transactions and accommodate significant active daily transaction volumes. It is issued by an independent entity, AED Stablecoin LLC, which has implemented sophisticated systems to manage the issuance of these coins effectively, ensuring reliability, security, and scalability.

The AE Coin is offered to customer through a network of authorized Agents. These agents facilitate the distribution of AE Coin to end-users via secure digital wallets, acting as trusted intermediaries. This agent-based distribution model not only streamlines the customer onboarding process but also enhances service reach and efficiency, while the Issuer maintains rigorous oversight of all transactions and system integrity to safeguard the interests of customers.

Through a dynamic governance framework issued by the Central Bank of the UAE and a robust blockchain infrastructure, AE Coin addresses the risk of price volatility usually associated with cryptocurrencies, and challenges related to transaction scalability within the financial services industry.

AE Coin has a futuristic vision to transform and integrate the world to eventually eliminate artificial economic borders and enable a more efficient and inclusive global marketplace.

Executive Summary



AED Stablecoin LLC

Legal Name: AED Stablecoin LLC

Registration Details: Licensed by the Central Bank of the UAE (CBUAE) in adherence to all applicable regulatory frameworks.

General Manager: Ramez Rafeek leads AED Stablecoin LLC with extensive experience in regulatory & financial crime compliance and corporate governance, especially in relation to blockchains. Ramez's main objective is to ensure the stability and growth of AE Coin in the digital currency ecosystem in light of the UAE Laws, regulations and best practice.



Stablecoin Issuer

AED Stablecoin LLC (or the Company) is an independent entity which has solely been created for the purpose of issuing the payment token named AE Coin. The Company will have the required technology and systems in place to issue and manage this stablecoin effectively.



Stablecoin Type

AE Coin would be a fiat money backed stablecoin that is pegged to the UAE Dirham. Any issuance of AE Coin would be backed by an equivalent value of reserves denominated in the UAE Dirham.



Issuance Volume and Issue Price

The issuance volume of AE Coin would always be subject to the Central Bank's approval and its issue price would be pegged to the value of the fiat currency in which it is denominated, i.e. the UAE Dirham.

1 AE Coin = 1 UAE Dirham



Initial Issuance Limit

In the introductory phase of AE Coin, the issuance limit will be capped at **10 million AE Coins**.

This strategic approach aligns with regulatory approval and is designed to ensure a secure and controlled initial rollout. Each AE Coin will remain pegged 1:1 with the UAE Dirham, backed by equivalent reserves held in AED.

This issuance cap may be adjusted in future phases, subject to regulatory approval, ensuring stability and scalability as the ecosystem grows.



Stablecoin Rights and Obligations

AE Coin has well-defined procedures and controls in place to protect the rights of the coin holders at all times. Considering the AE Coin is regulated by the Central Bank of the UAE (CBUAE), all terms and conditions of the Coin will be governed by regulatory requirements.



Rights and Obligations of Token Holders

- **Ownership:** Token holders have full ownership of their AE Coin holdings, with the right to transfer, hold, or redeem their tokens at any time.
- **Security:** Token holders are assured that their assets are safeguarded under Central Bank of the UAE's regulations, ensuring transparency and adherence to strict security protocols.
- **Usage:** In the introductory phase, AE Coin can be used for peer-to-peer payments and merchant transactions.
- **Accountability:** Token holders are responsible for ensuring compliance with the respective AE Coin platform's terms of use which would be defined by the authorised Agents offering the AE Coin.



Rights and Obligations of Token Holders

- **Transferability:** Token holders have the right to transfer their tokens to other registered AE Coin wallet holders or redeem them for fiat currency, in accordance with the authorised AE Coin Agent's redemption process.
- **Access:** Holders can access their token balance through secure digital wallets provided by authorised AE Coin Agents via wallet mobile applications.
- **Compliance:** Token holders are obligated to follow all local and international regulatory standards when transacting with AE Coin. Any fraudulent or non-compliant activity may result in restricted access or revocation of token ownership.
- **Redemption Rights:** Token holders can redeem their tokens into AED currency in accordance with the redemption policies of the respective authorised AE Coin Agent, ensuring compliance with the UAE Central Bank's guidelines.



Complaint Management and Dispute Resolution

Complaint Handling: Issues or complaints shall be sent through AE Coin's support channels, either online or via phone.

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Through these channels, you can communicate with us regarding any issues related to AE Coin, and we will promptly work to resolve them.

- **Resolution Timeline:** Upon filing a complaint, a case will be created, and the matter will be investigated. Resolution should be provided within a defined timeframe, typically 7-10 business days.
- **Dispute Process:** AE Coin will facilitate a formal dispute resolution process, involving relevant regulatory authorities and compliance officers if necessary.



Complaint Management and Dispute Resolution

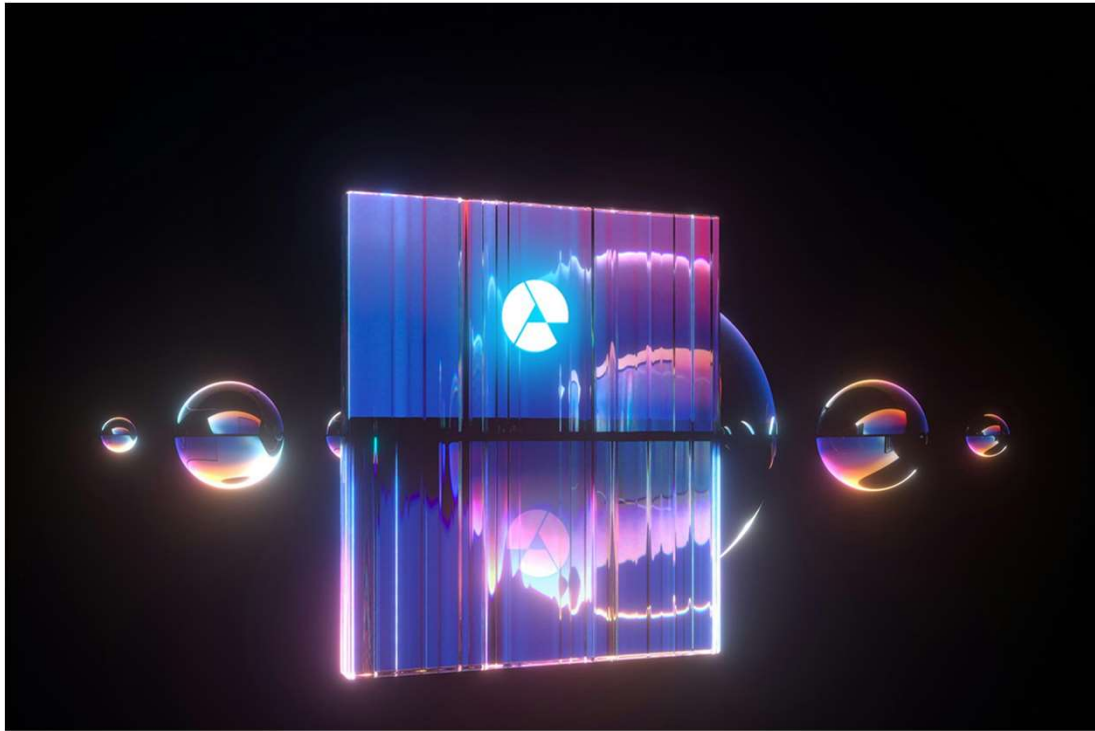
- **Arbitration:** For unresolved disputes involving significant claims or legal aspects, arbitration may be sought, ensuring the matter is handled in accordance with UAE regulatory frameworks and international best practices.
- **Transparency:** All complaints and disputes will be logged for transparency and continual service improvement. Token holders will be provided with periodic updates on their case status until it is fully resolved.



Redemption of AE Coin will be clearly defined by each authorized AE Coin Agent including any fees and charges, the type of currency that would be returned post redemption, i.e. UAE Dirham and any other redemption requirement, if applicable. Compliance with rights and obligations of customers in relation to AE Coin, along with the regulator's mandate, will be enforced through the usage of 'Smart Contracts' on the Blockchain.



To elaborate, AED Stablecoin LLC, as the issuer of AE Coin, has systems in place to record all information accurately, and avoid any issues related to data loss or data privacy. A detailed list of the inherent rights and obligations along with the procedures and conditions for exercising these rights would be made available by all authorized AE Coin Agents.



Stablecoin Technology

AED Stablecoin LLC has a well-defined technological framework in place with respect to the issuance of the AE Coin. The AE Coin Ledger Technology have been well-structured to support and record issuance of the AE Coin along with all kinds of transactions.



Technology-Related Risks and Mitigation

AE Coin's platform operates within a complex technological ecosystem, which brings certain risks that must be carefully managed. Below are the key technology-related risks associated with AE Coin, along with the mitigation strategies put in place to safeguard the platform and its users.



01. Cybersecurity Threats

- **Risk:** Like all digital platforms, AE Coin is exposed to potential cybersecurity attacks, including hacking attempts, malware, and phishing.
- **Mitigation:** AE Coin employs state-of-the-art encryption protocols, multi-factor authentication (MFA), and regular system audits to ensure a highly secure environment. Continuous monitoring systems are in place to detect and prevent unauthorized access in real time.



02. Smart Contract Vulnerabilities

- **Risk:** Smart contracts, which automate transactions on the blockchain, could be subject to coding errors or exploitation.
- **Mitigation:** AE Coin's smart contracts are subjected to rigorous third-party audits and extensive testing before deployment. Regular updates and code reviews are conducted to maintain contract integrity and ensure secure operation.



03. Blockchain Risks

- **Risk:** Any disruption to the underlying blockchain, such as network congestion or potential forks, can impact the performance of AE Coin transactions.
- **Mitigation:** AE Coin utilizes a robust and scalable blockchain infrastructure, ensuring that transactions remain fast, secure, and resilient even under high network demand. Backup systems and failover mechanisms are in place to provide continuity in the event of network issues.



04. Data Privacy and Breaches

- **Risk:** Unauthorized access to user data, resulting in a loss of privacy or sensitive information.
- **Mitigation:** AE Coin complies with data protection regulations such as GDPR and CCPA. User data is encrypted both at rest and in transit, with stringent access controls to limit exposure to unauthorized parties. Regular vulnerability assessments are carried out to ensure compliance with data security standards.



05. System Downtime and Reliability

- **Risk:** Any prolonged system downtime could affect users' ability to transact with AE Coin, causing delays or financial loss.
- **Mitigation:** AE Coin employs high-availability cloud infrastructure and decentralized systems to minimize downtime. Redundant systems and backup servers ensure that the platform remains operational even during unforeseen events. Service Level Agreements (SLAs) are in place to guarantee system uptime.



Audit & Sustainability Details

AE Coin is committed to maintaining transparency, accountability, and long-term sustainability in its operations. To ensure the highest level of trust and integrity in the stablecoin ecosystem, AE Coin follows rigorous audit protocols and implements sustainability-focused measures. Below are the key details related to audit processes and sustainability efforts.



Audit Protocols

- AE Coin undergoes regular independent audits conducted by top-tier external auditors to verify its reserves and ensure that each AE Coin in circulation is fully backed by equivalent reserves denominated in the UAE Dirham.
- These audits cover all aspects of financial and operational compliance, including the reserve management, transaction processes, and security measures, to ensure adherence to both regulatory and financial standards.
- Full audit reports are published regularly, providing full transparency and building trust within the AE Coin ecosystem.

Ongoing Review and Adaptation

- The White paper is subject to an annual review to ensure its continued relevance and effectiveness. However, should any significant changes or developments occur during the year, the White paper will be promptly reviewed and amended to address these updates. This approach ensures that the White paper remains dynamic and responsive to evolving circumstances.



Regulatory Compliance

- As a stablecoin regulated by the Central Bank of the UAE, AE Coin adheres to a stringent regulatory framework. This compliance is regularly monitored through internal and external audits, ensuring that AE Coin meets all legal requirements and regulatory obligations.



Sustainability and Governance

- AE Coin is committed to sustainable financial practices, ensuring that its operations and treasury management strategies promote long-term stability and growth.
- The governance framework in place ensures ethical management of reserves, responsible decision-making, and transparent operations that align with the highest industry standards.
- AE Coin is dedicated to implementing eco-friendly practices where possible, such as optimizing the blockchain's energy efficiency and minimizing its environmental impact.



Ongoing Monitoring and Reporting

- Continuous monitoring of operations and financial activities ensures that AE Coin remains fully compliant with all regulations and industry best practices.
- Regular reports are shared with stakeholders, ensuring transparency and providing insights into the operational health and financial sustainability of AE Coin.



Moreover, in accordance with regulatory requirements in relation to dealing through Agents, AED Stablecoin LLC has implemented stringent procedures in its systems to support enhanced Know Your Customer (“KYC”) due diligence and business monitoring measures in order to abide by Anti Money Laundering (“AML”)/Countering the Financing of Terrorism (“CFT”) laws.



From a technological perspective, AED Stablecoin LLC's and its authorized Agents are well-equipped to design, implement, and run a highly secure, available, and efficient solution operating over a Blockchain Technology to monitor all AE Coin related transactions effectively. The following technological processes would be implemented in relation to the Distributed Ledger Technology ("DLT") used:



AE Coin will be offered over permissioned Blockchain nodes operating on Hyperledger – Besu, which is Blockchain client technology that offers:

- A distributed blockchain system that is fully compliant with the Ethereum ecosystem and that supports over 100 TPS performance.
- A perfect fit for private permissioned network use cases (which eliminates the creation of any Forks.)
- No public network transaction or gas fees (e.g. in case of Ethereum) while running on The Company's private network, which helps maintaining the fees within the regulator's caps.
- The ability to make payments 24/7/365 days with real-time settlements.

Our Blockchain technology uses Proof of Authority (PoA) Consensus algorithm which enables a higher throughput and scalability.

Multiple blockchain nodes will be running over different data centres.

Additional blockchain nodes may be provisioned at “eligible” agents and custodians’ data centres, which will enable them to directly and transparently access the private permissioned blockchain



Minting and Redemption Sequences



AED Stablecoin LLC would manage the minting and the burning of the AE Coin and would execute a series of commands and controls to verify and validate that all AE Coins in circulation are always pegged to the value of the deposited Reserve Assets in UAE Dirhams, as per the regulations.

In the case of redemption, the Coins will be converted when a customer uses any of the off-ramp channels offered by an authorized AE Coin Agent. Upon successful verification and validation of the redemption request by the respective AE Coin Agent, redeemed Coins will be returned back to AED Stablecoin LLC's treasury pool of minted AE Coins and the equivalent amount in Fiat money will be transferred from AED Stablecoin LLC's escrow account at a local bank to the customer's account at any local bank.



Minting Process

Minting new AE Coins is initiated when a user deposits UAE Dirhams through an authorized AE Coin Agent (such as Mbank) via one of its approved channels. Here is a breakdown of the process:

- **Deposit Request:** A user submits a deposit request through Mbank, specifying the amount of UAE Dirham to be converted into AE Coin.
- **Verification and Compliance Check:** The deposit undergoes a comprehensive verification process, including AML (Anti-Money Laundering) and KYC (Know Your Customer) checks. Only after clearing these checks is the deposit approved.



- **Token Creation:** Once the deposit is confirmed, an equivalent number of AE Coins is minted on the blockchain, maintaining a 1:1 ratio with the deposited amount in UAE Dirhams. This ensures the stability and trust in the AE Coin's value.
- **Token Issuance:** The newly minted AE Coins are credited to the user's digital wallet within the AE Coin ecosystem, ready for the customer's use in transactions.



Redemption Process

The redemption process allows AE Coin holders to convert their digital assets back into UAE Dirhams, ensuring liquidity and stability for token holders. The following steps outline the redemption process:

- **Redemption Request:** Users initiate a redemption request through an authorized AE Coin Agent (such as Mbank) via one of its approved channels, specifying the amount of AE Coins they wish to convert back into UAE Dirhams.
- **Verification and Compliance:** Similar to the minting process, the redemption request is subjected to terms and conditions of the respective AE Coin Agent along with strict compliance protocols, including AML and KYC verifications, to ensure the legitimacy of the transaction.



- **AE Coin moved out of circulation:** Upon successful verification, the specified AE Coins will be transferred by the Agent to AED Stablecoin LLC's treasury pool of minted AE Coins, thereby, removing them from circulation to maintain the balance of the AE Coin supply.
- **Fiat Currency Credit to Escrow Account:** Once the AE Coins are moved out of circulation, the equivalent amount in UAE Dirhams is transferred directly from AED Stablecoin LLC's escrow account to the user's bank account, completing the redemption process.
- **Transparency:** All minting and redemption processes are recorded on the blockchain, providing transparency, traceability, and an immutable record of every transaction.



Risk Mitigation

AED Stablecoin LLC and its authorized Agents has robust and comprehensive governance policies / procedures to identify, manage, monitor and report the risks that would arise from the provision of the AE Coin. The major risks that AE Coin would be exposed to include the following:





Redemption Risk

The AE Coin will be 100% backed by reserves denominated in UAE Dirhams at all times. Due to this mechanism of securitization, all AE Coin holders will be eligible for instant redemption (i.e. from AE Coin to UAE Dirhams).



Operational Risk

Stablecoins and other Crypto assets are exposed to operational risks, including fraud and cyber risks. These risks stem from various factors, including the intricate nature of blockchains as well as the reliance of third-party service providers like custodians and exchanges. To mitigate these risks, we employ several strategies for improved technological security to safeguard against cyber threats and implement robust due diligence processes when engaging with any third parties.





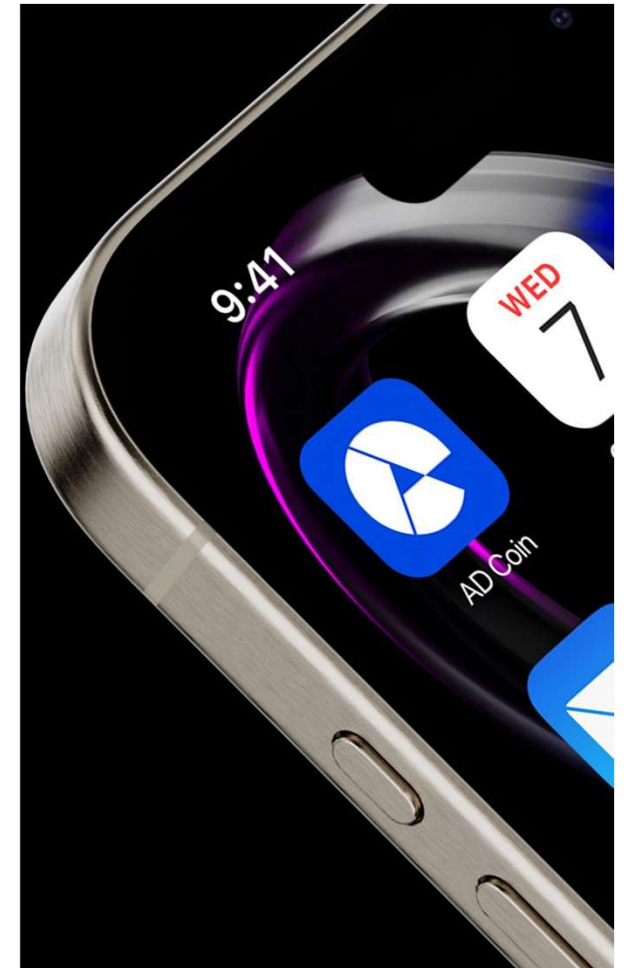
Regulatory Risk

AE Coin is a stablecoin that is regulated by and subject to the laws and regulations of the Central Bank of the UAE.



Financial Stability and run risk

Stablecoins and other Crypto assets are exposed to operational risks, including fraud and cyber risks. These risks stem from various factors, including the intricate nature of blockchains as well as the reliance of third-party service providers like custodians and exchanges. To mitigate these risks, we employ several strategies for improved technological security to safeguard against cyber threats and implement robust due diligence processes when engaging with any third parties.



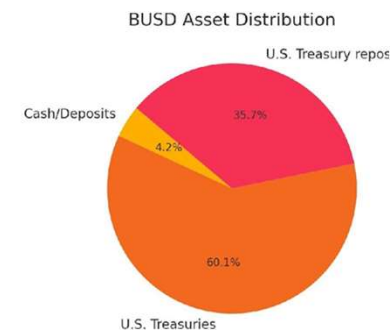
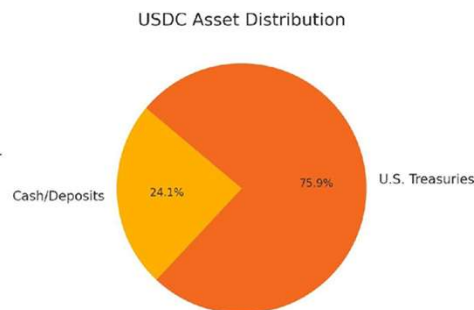
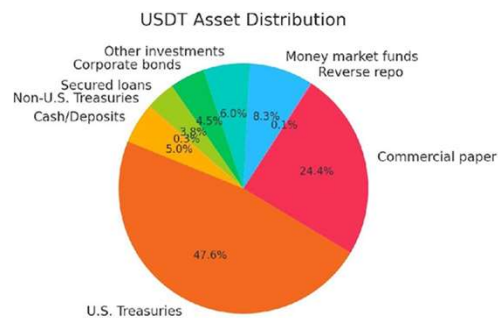


These figures provides a breakdown of the reserve assets (as on 30 June 2022) backing the three largest fiat-backed stablecoins: USDT (Tether), USDC (USD Coin), and BUSD (Binance USD):

USDT		
Asset	\$ bn	%
Cash/Deposits	\$4,100,485,805	4.97%
U.S. Treasuries	\$39,199,221,428	47.56%
Commercial paper	\$20,096,579,998	24.38%
Reverse repo	\$105,331,269	0.13%
Money market funds	\$6,798,150,552	8.25%
Other investments (incl. digital tokens)	\$4,959,634,446	6.02%
Corporate bonds, funds, prec. metals	\$3,729,529,946	4.52%
Secured loans	\$3,149,732,368	3.82%
Non-U.S. Treasuries	\$286,155,289	0.35%
Total	\$82,424,821,101	100%

USDC		
Asset	\$ bn	%
Cash/Deposits	\$13,581,264,959	24.38%
U.S. Treasuries	\$42,122,235,732	76.62%
Total	\$55,703,500,691	100%

BUSD		
Asset	\$ bn	%
Cash/Deposits	\$738,064,449	4.19%
U.S. Treasuries	\$10,597,042,200	60.12%
U.S. Treasury repos	\$6,292,771,150	35.70%
Total	\$17,627,877,799	100%





Due to Tether's (USDT) reserves being denominated in instruments other than US Dollars (such as Commercial Papers) and the lack of clarity on the underlying terms of these instruments, it is impossible to assess asset-specific credit risk which has led to volatility in the value of USDT. Consistent with these shortcomings, the Commodities Futures Trading Commission (CFTC) and New York's attorney general both fined Tether for fraudulently misrepresenting its reserves.



Contrary to the above and in line with regulatory requirements of the Central Bank of the UAE, the AE Coin would be backed 1:1 by reserves in UAE Dirhams only, thereby maintaining its stability in value. Furthermore, the reserves will be made fully transparent by way of regular independent audits that would be made available to the public, thereby eliminating any risk of instability in its value or a run risk.



Financial Crimes

Stablecoins, like any financial asset, could potentially be used in financial crimes, such as money laundering, financing of terrorism, or sanctions evasion.

The best defense against any misuse of the AE Coin is the fact that it is issued by AED Stablecoin LLC which is an institution regulated by the Central Bank of the UAE (CBUAE). Furthermore, the AE Coin will be provided to customers by Agents authorized by AED Stablecoin LLC and licensed by CBUAE to act as Agents. AED Stablecoin LLC and its authorized Agents will also be governed by the AML/CFT laws enforced by the Central Bank of the UAE. In line with these laws, all activities will be subject to strict AML/CFT checks.



Insolvency Risk

In the event that the AED Stablecoin LLC becomes insolvent, the reserve assets belonging to AE Coin holders will be protected in accordance with the contractual agreement with AE Coin Agents. It must be noted that these reserve assets will always be segregated from all other Company assets at all times and will not be subject to seizure by any bank in the event of insolvency of the Company.



Governance



In terms of governance, the planned structure is well-defined and robust, with the following features:

The AE Coin would be issued by an independent Company which has been created solely for this purpose, namely AED Stablecoin LLC. The Company aims to provide the support, governance for the Coin. It is expected to maintain an effective and robust governance structure with well-defined, transparent and consistent lines of responsibility

The aim of this Company is towards pursuing business development and support programs to create a distinguished Blockchain network and commit the required engineering and support resources to work on the underlying blockchain infrastructure.

Network governance would involve a multi-signatory process, wherein the assigned members within AED Stablecoin LLC will be required to approve any decision in relation to the Blockchain elements. This mechanism is expected to leverage a forthcoming unique Coin that distinguishes itself from various other regular stablecoins.

The Company would have in place controls on integrity and transparency of its operations. Moreover, the governance arrangements would include a clear description of employee roles & responsibilities, and accountability of any third parties, if involved.



Reserve Management

In accordance with regulatory requirements, 100% of the AE Coin Reserves would be held in the form of fiat currency, i.e. UAE Dirham in an escrow account at AED Stablecoin LLC. An additional 0.5% (or 2% where relevant) of the face value of the outstanding AE Coins would be held as capital by AED Stablecoin LLC in a capital account as part of the regulatory requirement by CB UAE.



Nature and Enforceability of Right of Coin Holders



With regard to information on the nature and enforceability of rights, AED Stablecoin LLC and its Agents have a detailed framework in place defining the rights pertaining to the Customers, the Agents and the Issuer. The nature of rights would be governed through ‘Smart Contracts’ and the Redemption process would be instant as a result of the Coin being fully backed by reserves denominated in UAE Dirhams.

These reserves would be segregated from all other Company assets of AED Stablecoin LLC, to protect the customers’ rights at all times. Moreover, these procedures and segregation rules will be clearly communicated to any third parties involved, such as external banks, thus, disallowing the banks to cease the segregated reserve assets of the agents in the event of insolvency or any other similar situation.



Restrictions on use of AE Coin

AED Stablecoin LLC will comply with the following regulatory restrictions of the Central Bank in accordance with the Circular No. 2/2024 issued on Payment Token Services Regulation:

- All stablecoin will be denominated in UAE Dirham;
- No interest will be paid to the any coin holder for possessing the Coin;
- The Company will adhere to any restrictions placed by CB UAE with respect to the issuance volume or transfers of the Coin;
- In case of a limitation being imposed by the CB UAE, provide daily reporting evidence to show compliance and maintain the required policies and procedures to ensure a proper rectification of any breach.





Disclaimer

The Central Bank of the UAE's has reviewed and accepted this White Paper; however, this does not constitute an endorsement of the **AE Coin** or the **AED Stablecoin LLC** to which it relates, or the accuracy or completeness of any information or statements in this White Paper.



AE Coin - Whitepaper

Customer support Channel

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